Time: 3 Hours **Max. Marks: 80**

Note:

(1) All questions are compulsory.
(2) Draw tables / diagrams wherever necessary.
(3) Figures to the right indicate full marks.
(4) Write answers of every new question on a new page.

Q.1. (A) Fill in the blanks using proper alternatives given in the brackets: **(5)[16]**

(1) Demand for car and petrol is _____ demand.
(Direct / Indirect / Joint / Composite)

(2) Total Revenue ÷ Total number of units sold = _____.
(Average cost / Average revenue / Marginal cost / Total cost)

(3) Personal income – Direct tax = _____.
(Private income / Disposable income / National income / Total income)

(4) _____ bank has the monopoly of note issue.
(Commercial / Co-operative / Central / Industrial)

(5) When government revenue exceeds government expenditure, it is known as a _____ budget.
(surplus / balanced / deficit / unbalanced)

(B) Match the correct pairs: **(5)**

	Group "A"		Group "B"
1.	Marginal utility	a.	Price discrimination
2.	Medicines	b.	Legal tender money
3.	Monopoly	c.	Government bank
4.	Currency notes	d.	Utility from last unit
5.	Central Bank	e.	Inelastic demand
		f.	Commercial bank
		g.	Utility of all units
		h.	Elastic demand

(C) State whether the following statements are True or False: **(6)**

(1) Adam Smith is known as the 'Father of Economics.'
(2) Better transport facility increases supply at the same price.
(3) There is no need of advertisement in monopolistic competition.
(4) Depreciation is included in net investment.
(5) Central Bank acts as a lender of the last resort.
(6) Budget is not prepared for each and every year.

Q.2. (A) Define or explain the following concepts (Any THREE): **(6)[12]**

(1) Individual demand
(2) Cross elasticity of demand
(3) Stock
(4) Entrepreneur
(5) Effective demand
(6) Clearing house

	(B)	**Give reasons or explain the following statements (Any THREE):**	**(6)**
	(1)	All desires are not demand.	
	(2)	Perfectly inelastic demand curve is parallel to 'OY' axis.	
	(3)	Agricultural goods are exception to law of supply.	
	(4)	Macro Economics is also known as income and employment theory.	
	(5)	Rate of interest on fixed deposit is high.	
	(6)	During the period of depression deficit budget is used.	
Q.3.	**(A)**	**Distinguish between (Any THREE):**	**(6)[12]**
	(1)	Form utility and Time utility.	
	(2)	Increase in demand and Decrease in demand.	
	(3)	Relatively inelastic demand and Relatively elastic demand.	
	(4)	Micro Economics and Macro Economics.	
	(5)	Standard coins and Token coins.	
	(6)	Commercial bank and Central bank.	
	(B)	**Write short notes (Any TWO):**	**(6)**
	(1)	Features of Micro Economics.	
	(2)	Importance of the Law of Diminishing Marginal Utility.	
	(3)	Types of loans of commercial banks.	
	(4)	Revenue receipts.	
Q.4.		**Answers the following questions (Any THREE):**	**[12]**
	(1)	Explain the importance of Micro Economics.	
	(2)	Explain the features of utility.	
	(3)	Explain the importance of Elasticity of Demand.	
	(4)	Explain the features of Macro Economics.	
	(5)	Explain the circular flow of national income.	
	(6)	Explain the agency functions of commercial bank.	
Q.5.		**State with reasons whether you 'agree' or 'disagree' with the following statements (Any THREE):**	**[12]**
	(1)	Various factors influence Elasticity of Demand.	
	(2)	Supply curve slopes upward from left to right.	
	(3)	There are many features of labour.	
	(4)	Aggregate demand depends only on the consumption expenditure.	
	(5)	Barter system did not have any difficulties.	
	(6)	Central bank do not adopt quantitative measures of credit control.	
Q.6.		**Write explanatory answers (Any TWO):**	**[16]**
	(1)	State and explain the law of demand with exceptions.	
	(2)	What is Perfect Competition? Explain price determination under Perfect Competition.	
	(3)	Define national income. Explain how National income is measured by Output method.	
	(4)	What do you mean by Aggregate Supply? Explain determinants of Aggregate Supply.	